

Calderwood Partners LLC

www.calderwoodpartners.com

February 6, 2011

Melissa Johnson
General Manager
Scott, Smith and Edwards

Re: Advising Scott, Smith and Edwards on its digital operating model

Dear Ms. Johnson:

This letter sets down the terms on which we will help you rebuild the way your online business is run. The question you have put to us is a narrow one, and I will state it plainly: the share of your orders that now comes through the web channel has outgrown the organization behind it, and you want that organization matched to what the channel has become. What follows describes the work we will do to answer that, the people who will do it, what we will need from you, and the terms that govern the engagement. Once you have signed and returned this letter, it becomes the agreement between us and it takes the place of anything discussed before it.

The Work

We will deliver three things. The first is a diagnostic of how Scott, Smith and Edwards runs its digital business today: where orders are taken and where they are filled, which functions own which parts of the channel, how customer and order information moves between the systems that hold it, and what the present arrangement costs to operate. The second is a target operating model, a design that fixes ownership of the online channel, sets out the decisions each role is accountable for, and puts around them the governance a channel of this size now requires. The third is a roadmap that sequences the change from where you are to that model and shows where the effort returns the most.

Some matters sit outside this work, and I will name them here so they are not left to assumption. We will recommend where roles and accountabilities should change; the decisions about individual people remain yours, and we do not carry them out. Selecting or installing software, negotiating with your technology vendors, and the tax or legal treatment of any reorganization are not part of this engagement. Where our analysis meets a question we have not been retained to answer, we will say so and stop there instead of guessing at it.

How We Will Proceed

We begin with your own figures, your own systems, and your own people, not with a design carried in from another company. In the opening weeks we will map how the channel actually operates, interview the

managers who run it day to day, and assemble a plain account of the cost and the hand-offs as they stand. From that base we design the target model and test it against the demands the business will place on it over the next few years. We form a view and we state it; we do not hand you a menu of options and ask you to do the designing yourselves.

Who Will Do the Work

Jason Torres, a Principal of the firm, leads the engagement and is your point of contact for anything touching the design or the schedule. Deborah Allen, Consultant, builds the current-state picture and the cost analysis and will run the exchange of data and definitions with your team; she is the person to reach on the numbers and the systems detail. I review the analysis and the recommendation before either is put in front of you, as I do with all of the firm's work. We will not change the people on your engagement without telling you first.

Fee and Payment

Our fee for the work described above is a fixed \$106,000, which covers the diagnostic, the target model, and the roadmap, together with the team's ordinary travel to and from your offices. We invoice in three equal installments across the engagement, each payable within thirty days of the invoice date. The fee is fixed against the scope set out in this letter. If you later ask us for work this letter does not describe, we will price it and wait for your written approval before we take it up; we do not add to the bill on our own reading of what you meant.

When We Begin

Work begins on February 16, 2011, once we have your countersignature and the materials the team will need to start: your current organization chart for the channel and the functions around it, a list of the systems that carry order and customer data, and the names of the managers we should interview. If any of that will take time to gather, tell Deborah Allen and we will sequence the first weeks around what is ready.

Term and Ending the Engagement

This agreement takes effect on the date you sign below and runs until we have delivered the roadmap and you have paid our final invoice. Either of us may end it earlier on thirty days' written notice to the other. If the engagement ends before it is finished, you will pay us for the work done and the expenses incurred to that point, and we will hand over what we have produced in the state it then stands, with a written note of what is left open. An unfinished diagnostic carries no recommendation, and none should be drawn from it.

Handling Your Information

We will treat everything you give us as confidential and use it only for this engagement. Inside the firm, access is limited to the team named above and to those whose work requires it. We will not pass your information to anyone outside the firm without your written consent, unless a court or a regulator with

authority compels it, and in that case we will tell you first where we are permitted to. What we produce is prepared for your management and is not to be used on another matter without our agreement in writing. This obligation outlasts the engagement itself.

The Limit of Our Liability

Our total liability to you arising from this engagement, whether a claim is framed in contract or in tort, will not exceed the fees you pay us under it, save in the case of our own fraud or willful misconduct. Neither party will be liable to the other for indirect or consequential loss, lost profits among them, whether or not the possibility was raised. Our conclusions rest on the accuracy of what you give us; where that information proves materially wrong, the consequences of the error are not ours to bear, though we will tell you at once if we see reason to doubt what we have been handed.

Governing Law and Disputes

This agreement is governed by the laws of the state in which the firm's principal office sits, without regard to its conflict-of-laws rules. Before either of us starts formal proceedings, we will try to settle any dispute through discussion between senior people on both sides. This letter is the whole of the agreement between us on its subject and may be changed only in writing signed by us both.

If these terms match your understanding, please sign both copies where shown below, keep one for your records, and return the other to me. If anything in them does not, call me before you sign and we will settle it then. We are glad to be taking this on with Scott, Smith and Edwards, and the team will be ready to begin the interviews as soon as the signed letter is back with us.

Very truly yours,

Julie Ramsey

Managing Principal

Date: February 6, 2011

Melissa Johnson

General Manager, Scott, Smith and Edwards

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